Conversely, a bad business offers a product that is virtually indistinguishable from the products of its competitors—a commodity. Years ago, basic commodities included oil, gas, chemicals, copper, lumber, wheat, and orange juice. Today, computers, automobiles, airline service, banking, and insurance have become commodity-type products. Despite mammoth advertising budgets, they are unable to achieve meaningful product differentiation.

Commodity businesses, generally, are low-returning businesses and "prime candidates for profit trouble."[10] Their product is basically no different from anyone else's, so they can compete only on the basis of price—which, of course, cuts into profit margins. The most dependable way to make a commodity business profitable is to become the low-cost provider. The only other time commodity businesses turn a healthy profit is during periods of tight supply—a factor that can be extremely difficult to predict. A key to determining the long-term profit of a commodity business, Buffett notes, is the ratio of "supply-tight to supply-ample years." However, this ratio is often fractional. "What I like," he confides, "is economic strength in an area where I understand it and where I think it will last."[11]

Management Tenets

When considering a new investment or a business acquisition, Buffett looks very hard at the quality of management. He tells us that the companies or stocks Berkshire purchases must be operated by honest and competent managers whom he can admire and trust. "We do not wish to join with managers who lack admirable qualities," he says, "no matter how attractive the prospects of their business. We've never succeeded in making good deals with a bad person."[12]

When he finds managers he admires, Buffett is generous with his praise. Year after year, readers of the Chairman's Letter in Berkshire's annual reports find Buffett's warm words about those who manage the various Berkshire companies.

He is just as thorough when it comes to the management of companies whose stock he has under consideration. In particular, he looks for three traits: